

Note 1.2 Significant events during the financial year

1. Acquisitions and disposals

During the course of the year, Group affiliate Corby Spirit & Wine acquired a 90% stake in Ace Beverage Group Inc, the largest independent player in the fast-growing Canadian ready-to-drink (RTD) market.

The Group also closed the sale of its Clan Campbell blended Scotch whisky brand to Stock Spirits Group, as well as the sale of the Becherovka brand and related assets (including the production facilities in Karlovy Vary) to the Maspex group. These transactions are part of Pernod Ricard's active portfolio management strategy, aimed at adapting to the needs of consumers and providing greater opportunities for premiumisation.

2. Bond issues and redemptions

On 15 September 2023, Pernod Ricard SA carried out a bond issue for an amount of €1,350 million in two tranches: a €600 million four-year tranche and a €750 million ten-year tranche, each bearing interest at a fixed annual rate of 3.75%.

On 24 October 2023, Pernod Ricard SA redeemed in full and at maturity a €500 million bond issued on 24 October 2019, bearing a 0% coupon.

On 7 May 2024, Pernod Ricard SA carried out a bond issue for an amount of €1,500 million across two tranches: a €700 million 6.5-year tranche and an €800 million 10-year tranche, bearing interest at the fixed annual rate of 3.375% and 3.625%, respectively.

After obtaining the approval of the French Financial Markets Authority (*Autorité des Marchés Financiers* – AMF) on the base prospectus, on 26 May 2020, Pernod Ricard set up a Euro Medium Term Notes (EMTN) programme, updated on 11 October 2021, 24 October 2022 and 24 October 2023 (the "Programme"). Under the terms of the Programme, Pernod Ricard and Pernod Ricard International Finance LLC may issue bonds by means of private placements in various currencies. The issues of Pernod Ricard International Finance LLC under the programme will be guaranteed by Pernod Ricard SA. The securities may be admitted to trading on Euronext Paris. The maximum nominal amount of securities outstanding under the Programme is set at €7 billion (or the equivalent in any other currency). During the meeting on 24 April 2024, the Board of Directors authorised Pernod Ricard to issue bonds under the Programme up to a total maximum nominal amount of €2,850 billion less any amounts issued since 30 August 2023 (or the equivalent in any other currency) for a period of one year from 24 April 2024.

NOTE 2 Segment information

Net sales

The Group's net sales primarily comprise sales of finished products and are recorded in the income statement upon transfer of control of the products. They are measured at the fair value of the consideration received or to be received after deducting trade discounts, volume rebates, certain costs associated with business and promotional activity and sales-related taxes and duties, notably excise duties.

Costs of commercial and promotional activity

Pursuant to IFRS 15, certain costs of services rendered in connection with sales, such as advertising programmes in conjunction with distributors, listing costs for new products, promotional activities at point of sale, and advertising and promotion expenses, are deducted directly from net sales if there is no distinct service whose fair value can be reliably measured.

Duties and taxes

In accordance with IFRS 15, certain import duties, in Asia for instance, are classified as cost of sales, as these duties are not specifically re-billed to customers (as is the case for social security stamps in France, for example).

Discounts

In accordance with IFRS 15, early payment discounts are not considered to be financial transactions, but rather are deducted directly from net sales.

Gross margin after logistics expenses, contribution after advertising and promotion expenses, profit from recurring operations and other operating income and expenses

The gross margin after logistics expenses corresponds to net sales (excluding duties and taxes), less cost of sales and logistics expenses. The contribution after advertising and promotion expenses includes the gross margin after logistics expenses and advertising and promotion expenses. The Group applies Recommendation 2013-R03 of the French accounting standards-setter (*Autorité des normes comptables* - ANC), notably as regards the definition of profit from recurring operations. Profit from recurring operations is the contribution after advertising and promotion expenses less trading costs and overheads. This is the indicator used internally to measure the Group's operational performance. It excludes other operating income and expenses, such as those related to restructuring, capital gains and losses on disposals, impairment of property, plant and equipment and intangible assets, and other non-recurring operating income and expenses. These other operating income and expenses are excluded from profit from recurring operations given their unusual, abnormal and infrequent nature, which would distort the understanding of the Group's performance. They are described in detail in Note 3.1 - *Other operating income/ (expenses)*.

The Group is focused on the business of selling and manufacturing wines and spirits. The Group is structured into three operating segments constituted by the following geographical areas: Americas, Europe, and Asia/Rest of the World.

Group management assesses the performance of each operating segment on the basis of net sales and profit from recurring operations, defined as the gross margin after logistics expenses, less advertising and promotion expenses and structure costs. The segments presented are identical to those included in the reporting provided to General Management, in particular for performance analysis.

Income statement and balance sheet items are allocated among the segments on the basis of either the destination of sales or profits. Operating segments follow the same accounting policies as those used for the preparation of the consolidated financial statements. Inter-segment transfers are transacted at market prices.

30.06.2023
€ millions

	Americas	Asia/Rest of the World	Europe	Total
Income statement items				
Segment net sales	4,076	6,371	9,297	19,744
<i>o/w inter-segment sales</i>	595	1,179	5,832	7,606
Net sales (excluding Group)	3,481	5,191	3,465	12,137
Gross margin after logistics expenses	2,220	2,969	2,057	7,246
Contribution after advertising and promotion expenses	1,534	2,229	1,544	5,307
Profit from recurring operations	965	1,516	867	3,348
Other information				
Current investments	185	163	486	834
Depreciation, amortisation and impairment, net	(73)	(104)	(289)	(467)